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BACKGROUND

This is a lemon law action.

On February 26, 2026, Plaintiffs Casey and Caleb Hardy filed a complaint against Defendant General Motors, LLC ("GM"). The complaint alleges five causes of action stemming from Plaintiffs' purchase of an allegedly defective vehicle.

On April 22, 2026, GM filed a demurrer to the fourth and fifth causes of action in Plaintiffs' complaint.

On August 17, 2026, Plaintiffs filed an opposition.

On August 20, 2026, GM filed a reply.

TENTATIVE RULING

GM's demurrer is SUSTAINED.

Plaintiffs are granted leave to amend as specified below.

LEGAL STANDARD

"[A] demurrer tests the legal sufficiency of the allegations in a complaint." (Lewis v. Safeway, Inc. (2015) 235 Cal.App.4th 385, 388.) A demurrer can be used only to challenge defects that appear on the face of the pleading under attack or from matters outside the pleading that are judicially noticeable. (See Donabedian v. Mercury Ins. Co. (2004) 116 Cal.App.4th 968, 994 [in ruling on a demurrer, a court may not consider declarations, matters not subject to judicial notice, or documents not accepted for the truth of their contents].) For purposes of ruling on a demurrer, all facts pleaded in a complaint are assumed to be true, but the reviewing court does not assume the truth of conclusions of law. (See Aubry v. Tri-City Hosp. Dist. (1992) 2 Cal.4th 962, 967.) The only issue a demurrer is concerned with is whether the complaint, as it stands, states a cause of action. (See Hahn v. Mirda (2007) 147 Cal.App.4th 740, 747.)

Where a demurrer is sustained, leave to amend must be allowed where there is a reasonable possibility of successful amendment. (See *Goodman v. Kennedy*, (1976) 18 Cal.3d 335, 348.) The burden is on the plaintiff to show the court that a pleading can be amended successfully. (Ibid.; see also *Lewis v. YouTube, LLC*, (2015) 244 Cal.App.4th 118, 226.) However, “[i]f there is any reasonable possibility that the plaintiff can state a good cause of action, it is error to sustain a demurrer without leave to amend.” (*Youngman v. Nevada Irrigation Dist.*, (1969) 70 Cal.2d 240, 245).

DISCUSSION

I. Meet and Confer

Before filing a demurrer, the demurring or moving party shall meet and confer with the party who has filed the pleading in person, by telephone, or by video conference. (See Code Civ. Proc., § 430.41, subd. (a).) Furthermore, the demurring or moving party must file a declaration detailing their meet and confer efforts. (Code Civ. Proc., § 430.41, subd. (a)(3).)

Here, the parties discussed the demurrer by telephone. (See *Perez Decl.*, ¶ 2.) Therefore, the meet and confer requirement has been satisfied. (See Code Civ. Proc., § 430.41, subd. (a).)

II. Breach of the Implied Warranty of Habitability (Cause of Action No. 4)

The Court finds that Plaintiffs’ fourth cause of action is time-barred under the applicable statute of limitations.

Implied warranty claims are subject to a four-year statute of limitations. (Com. Code, § 2725; *Montoya v. Ford Motor Co.*, (2020) 46 Cal.App.5th 493, 495.) Under Commercial Code section 2725, subdivision (b), a breach of warranty occurs, and thus a claim accrues, “when tender of delivery is made, except that where a warranty explicitly extends to future performance of the goods and discovery of the breach must await the time of such performance[,] the cause of action accrues when the breach is or should have been discovered.” (Com. Code, § 2725, subd. (b).) However, unlike express warranty claims, an implied warranty does not “explicitly extend to future performance of the goods.” (*Cardinal Health 301, Inc. v. Tyco Elecs. Corp.*, (2008) 169 Cal.App.4th 116, 134.)

Furthermore, “[i]n the case of a latent defect, a product is rendered unmerchantable, and the warranty of merchantability is breached, by the existence of the unseen defect, not by its subsequent discovery.” (*Mexia v. Rinker Boat Co.* (2009) 174 Cal.App.4th 1297, 1305.)

Here, Plaintiffs do not specifically identify when the subject vehicle was delivered, but it appears that they acquired the vehicle when they allege they received the warranty from GM – May 26, 2020. (See *Compl.*, ¶ 6.) Therefore, the four year statute of limitations on Plaintiffs’ claim for Breach of the Implied Warranty of Merchantability ran on May 26, 2024. Plaintiffs filed their original complaint on February 26, 2026, almost two years after this date. Therefore, Plaintiffs’ fourth cause of action is time-barred under the applicable statute of limitations. (See Com. Code, § 2725.)

Accordingly, the Court SUSTAINS the demurrer to the fourth cause of action without leave to amend. The Court grants leave to amend only to the extent that Plaintiffs can allege in good faith that delivery of the vehicle occurred on or after February 26, 2022.

III. Fraudulent Inducement – Concealment (Cause of Action No. 5)

a. Statute of Limitations

The Court finds that the fifth cause of action is time-barred under the applicable statute of limitations.

Causes of action based on fraud are subject to a three-year statute of limitations. (Code Civ. Proc., § 338, subd. (d).) The cause of action “is not deemed to have accrued until the discovery, by the aggrieved party, of the facts constituting the fraud or mistake.” (Ibid.) Therefore, the burden falls onto the plaintiff to show delayed discovery. (See *Fox v. Ethicon Endo-Surgery, Inc.* (2005) 35 Cal.4th 797, 808 [“Where a claim alleged in a complaint appears on its face to be barred by the applicable statute of limitations, a plaintiff relying on the theory of delayed accrual must plead facts supporting that theory.”].) “As for the belated discovery, the complaint must allege (1) when the fraud was discovered; (2) the circumstances under which it was discovered; and (3) that the plaintiff was not at fault for failing to discover it or had no actual or presumptive knowledge of facts sufficient to put him on inquiry.” (Community Cause v. Boatwright (1981) 124 Cal.App.3d 888, 900–901 [applied to a fraudulent concealment cause of action].) “The discovery-related facts should be pleaded in detail to allow the court to determine whether the fraud should have been discovered sooner.” (Cansino v. Bank of America (2014) 224 Cal.App.4th 1462, 1472 [emphasis added].)

Here, the subject vehicle appears to have been delivered to Plaintiffs on May 26, 2020. (Compl., ¶ 7.) Plaintiffs assert delayed discovery and allege that they did not discover Defendant’s wrongful conduct until January 13, 2026 (i.e., the date on which Defendant refused to provide restitution for the allegedly defective vehicle). (Compl., ¶ 25.) Plaintiffs do not, however, state when they discovered the alleged defects in the subject vehicle.

On the face of the complaint, this cause of action is time-barred. The subject vehicle was apparently delivered on May 26, 2020; therefore, the statute of limitations ran on this cause of action on May 26, 2023. (See Code Civ. Proc., § 338, subd. (d).) Plaintiff did not file a complaint until February 26, 2026, almost three years after the expiration date. Therefore, on the face of the complaint, this cause of action is time-barred.

Plaintiffs invoke delayed discovery to avoid this bar. (See Compl., ¶ 25.) They contend that the statute of limitations accrued on January 13, 2026 (i.e., the date on which Defendant refused to provide restitution for the allegedly defective vehicle). (See *ibid.*) However, Plaintiff does not allege facts to support this delayed discovery argument. This cause of action is centered on Defendant fraudulently concealing defects in the subject vehicle. (See Compl., ¶ 47 [“Defendant GM committed fraud by allowing the Vehicle to be sold to Plaintiffs without disclosing that the Vehicle and its 10-speed transmission were defective and susceptible to sudden and premature failure.”].) Therefore, this cause of action accrued when Plaintiffs began discovering facts constituting Defendant’s fraud about the vehicle’s quality (i.e., when they began discovering defects in the subject vehicle). (See Code Civ. Proc., § 338, subd. (d).) There is no basis to find that it accrued when Defendant refused to provide restitution for the subject vehicle, which presumably occurred after Plaintiffs were aware of the alleged defects.

Plaintiffs do not allege a date, time, or period when they discovered defects with the subject vehicle or when said defects began manifesting. (See generally Compl.) Therefore, there is no basis in the complaint to apply delayed discovery. (See Code Civ. Proc., § 338, subd. (d).) For this reason, the Court holds that this cause of action is time-barred under the applicable statute of limitations. (See Code Civ. Proc., § 338, subd. (d).)

While this issue decides the demurrer as to this cause of action, the Court will address other arguments raised by Defendant.

b. Requisite Allegations

The Court holds that Plaintiffs’ allegations underlying this cause of action are sufficient.

To state a cause of action for fraudulent concealment, the plaintiff must establish: (1) concealment or suppression of a material fact; (2) by a defendant with a duty to disclose the fact; (3) the defendant intended to defraud the plaintiff by intentionally concealing or suppressing the fact; (4) the plaintiff was unaware of the fact and would have acted differently if the concealed or suppressed fact was known; and (5) plaintiff sustained damage as a result of the concealment or suppression of the material fact. (*Rattagan v. Uber Technologies, Inc.* (2024) 17 Cal.5th 1, 49.)

Generally, fraud must be pled with particularity. (See *Hills Transportation Co. v. Southwest Forest Ind., Inc.* (1968) 266 Cal.App.2d 702, 707.) Pleadings must generally allege facts as to “how, when, where, to whom, and by what means the representations were tendered.” (*Stansfield v. Starkey* (1990) 220 Cal. App. 3d 59, 73; *Wald v. Truspeed Motorcars, LLC* (2010) 184 Cal.App.4th 378, 393.) However, in cases of nondisclosure or concealment of facts, one cannot show “by what means” something did not happen, or “when” it did not happen, or “where” it never happened. (See *Alfaro v. Community Housing Improvement System & Planning Assoc., Inc.* (2009) 171 Cal.App.4th 1356, 1384.) Therefore, “[l]ess specificity is required when it appears from the nature of the allegations that the defendant must necessarily possess full information concerning the facts of the controversy. . . .” (*Committee on Children’s Television, Inc. v. General Foods Corp.* (1983) 35 Cal.3d 197, 217.)

i. Insufficient Allegations

GM contends that Plaintiffs needed to allege with particularity the alleged defects in the subject vehicle. GM uses *Santana v. FCA US, LLC* (2020) 56 Cal.App.5th 334 to support its position. However, reliance on this case is misguided. There, the court considered and reversed a final verdict for fraudulent inducement by concealment, not a demurrer based on the pleadings. (See *id.* at pp. 344-345.) Furthermore, the court reversed the final verdict because there was only evidence of defects in other vehicles, not the vehicle that plaintiff owned. (See *id.* at p. 345.) Here, Plaintiffs have specifically alleged defects with their vehicle. (See *Compl.*, ¶¶ 47-50.) Therefore, *Santana* does not support GM’s position.

Instead, *Dhital v. Nissan North America, Inc.* (2002) 84 Cal.App.5th 828 better guides this analysis. In this case, the demurring party also argued that plaintiff failed to allege with particularity the concealed defects. (See *id.* at pp. 844-845.) However, the court found that plaintiff had adequately alleged facts about the purported defects. More specifically, allegations regarding the subject vehicle’s defective CVT transmission, the numerous problems it caused, and that the defendant was aware of said defects were sufficient in the court’s eyes. (See *ibid.*)

Here, Plaintiffs alleged similar facts. They alleged defects with the vehicle’s 10-speed transmission as it was susceptible to sudden and premature failure. (See *Compl.*, ¶ 47.) Further, Plaintiffs alleged that GM had knowledge of these alleged defects via:

pre-production and post-production testing data; early consumer complaints about the Transmission Defect made directly to Defendant GM and its network of dealers; aggregate warranty data compiled from Defendant GM’s network of dealers; testing conducted by Defendant GM in response to these complaints; as well as warranty repair and part replacements data received by Defendant GM from Defendant GM’s network of dealers, amongst other sources of internal information.

(*Compl.*, ¶ 50.)

These facts closely mirror those pleaded in *Dhital*. (See *Dhital v. Nissan North America, Inc.* (2002) 84 Cal.App.5th 828, 844-845.) Therefore, the Court finds that Plaintiffs have alleged with sufficient particularity the defects that GM allegedly concealed.

ii. GM’s Duty to Disclose

A duty to disclose a material fact can arise if: (1) it is imposed by statute; (2) the defendant is acting as plaintiff’s fiduciary or is in some other confidential relationship with plaintiff that imposes a disclosure duty under the circumstances; (3) the material facts are known or accessible only to defendant, and defendant knows those facts are not known or reasonably discoverable by plaintiff (i.e., exclusive knowledge); (4) the defendant makes representations but fails to disclose other facts that materially qualify the facts disclosed or render the disclosure misleading (i.e., partial concealment); or (5) defendant actively conceals discovery of material fact from plaintiff (i.e., active concealment). (Civ. Code § 1710; see also *Rattagan v. Uber Technologies, Inc.* (2024) 17 Cal.5th 1, 40.)

“Circumstances (3), (4), and (5) presuppose a preexisting relationship between the parties, such as ‘between seller and buyer, employer and prospective employee, doctor and patient, or parties entering into any kind of contractual agreement. [Citation.]’ All of these relationships are created by transactions between parties from which a duty to disclose facts material to the transaction arises under certain circumstances.” (Rattagan v. Uber Technologies, Inc. (2024) 17 Cal.5th 1, 40-41 [citing LiMandri v. Judkins (1997) 52 Cal.App.4th 326, 337].) “Such a transaction must necessarily arise from direct dealings between the plaintiff and the defendant; it cannot arise between the defendant and the public at large.” (Rattagan v. Uber Technologies, Inc. (2024) 17 Cal.5th 1, 41 [citing Bigler-Engler v. Breg, Inc. (2017) 7 Cal.App.5th 276, 312].)

Here, Plaintiffs allege they entered a warranty contract with GM on May 26, 2020. (See Compl., ¶ 6.) GM contends this warranty contract cannot form the basis of a transactional relationship. Rather, Plaintiffs needed to allege that they purchased the vehicle directly from GM to establish a transactional relationship. However, a direct transactional relationship can arise out of “any kind of contractual agreement.” (LiMandri v. Judkins (1997) 52 Cal.App.4th 326, 337.) Therefore, a transactional relationship can arise out of a warranty contract (i.e., a contractual agreement between two parties). Furthermore, the warranty contract was a “direct dealing” because it was an agreement exclusively between Plaintiffs and GM. (See Bigler-Engler v. Breg, Inc. (2017) 7 Cal.App.5th 276, 312.) The warranty itself contains language demonstrating that it only covered Plaintiffs and their vehicle. (See Compl., Exh. A, p. 1 [“GMC is committed to ensuring an excellent ownership experience with your new vehicle. Your dealer also wants you to be completely satisfied and invites you to return for all your service needs, both during and after the warranty period.”].)

In further support of their position, GM cites the Ford Motor Warranty Cases (2025) 17 Cal.5th 1122. However, the Court does not find that case applicable to this issue. There, the court held that Ford could not invoke an arbitration clause in the sales contracts because they were not a party to the sales contract. (See id. at p. 1138.) The court found that the language of the arbitration clause in the sales contract did not support an agreement to arbitrate with the manufacturer as a nonsignatory. (See *ibid.*) Here, however, Plaintiffs’ claim arises out of the warranty contract with GM, not the sales contract for the subject vehicle. (See Compl., ¶ 6.) Thus, even if the parties did not establish a transactional relationship from the sale of the vehicle, the warranty contract itself was still a “direct dealing” between the parties. (See Bigler-Engler v. Breg, Inc. (2017) 7 Cal.App.5th 276, 311.)

In short, the Court finds that Plaintiffs have sufficiently alleged a direct transactional relationship with GM via the warranty contract. Accordingly, said direct transactional relationship imposed a duty on GM to disclose to Plaintiffs any known vehicle defects.

iii. GM’s Knowledge of the Alleged Defects

GM also contends that Plaintiffs failed to allege any facts sufficiently demonstrating that GM had pre-sale knowledge of the alleged defects. The Court disagrees.

Plaintiffs allege that GM knew, or should have known, about defects with the vehicle’s 10-speed transmission via:

pre-production and post-production testing data; early consumer complaints about the Transmission Defect made directly to Defendant GM and its network of dealers; aggregate warranty data compiled from Defendant GM’s network of dealers; testing conducted by Defendant GM in response to these complaints; as well as warranty repair and part replacements data received by Defendant GM from Defendant GM’s network of dealers, amongst other sources of internal information.

(Compl., ¶ 50.)

These allegations closely mirror those alleged in *Dhital*. (*Dhital v. Nissan North America, Inc.* (2002) 84 Cal.App.5th 828, 844-845.) And in *Dhital*, the court reversed the trial court’s order sustaining the demurrer to this cause of action because it found that plaintiff had alleged facts with requisite specificity. (See *ibid.*) Thus, the Court finds this same holding applies here.

Despite the foregoing, GM relies on a case – *Roe v. Ford Motor Co.* (E.D. Mich. 2019) 2019 WL 3564589 – stating that Plaintiffs must allege what said “pre-releasing testing data” revealed and/or tie said data to the alleged defects. However, this case comes from the United States District Court for the Eastern District of Michigan. Therefore, this case has no precedence over this specific action. Furthermore, the Court believes that Roe’s level of detail is not required at the pleading stage, and instead applies the principles established in *Dhital*.

Plaintiffs have stated facts sufficient to demonstrate that GM had pre-sale knowledge of the subject vehicle’s alleged defects.

iv. GM’s Active Concealment

GM also contends that Plaintiffs failed to allege facts sufficiently demonstrating that it actively concealed known defects of the vehicle. To keep it brief, the Court disagrees. Plaintiffs have sufficiently alleged that GM actively concealed known defects about the subject vehicle. (See Compl., ¶¶ 48, 52, 54.)

v. Plaintiffs’ Reliance

GM also contends that Plaintiffs did not sufficiently allege actual and justifiable reliance on any alleged concealment or omission by GM. The Court again disagrees. Plaintiffs have sufficiently alleged that they relied on GM’s failure to disclose the vehicle’s transmission defects and that they would not have purchased the vehicle had they known about said defects. (See Compl., ¶ 51 [“Had Defendant GM and its dealership(s) revealed the Transmission Defect in these disclosures, Plaintiffs would have been aware of it and would not have purchased Subject Vehicle.”].)

Despite the foregoing, GM contends that if Plaintiffs plead reliance of any kind, they relied upon the express warranty, not upon GM’s omissions. (See *Seely v. White Motor Co.* (1965) 63 Cal.2d 9, 13 [“The natural tendency of [defendant’s express warranty] was to induce buyers to rely on it, and plaintiff did so rely in purchasing the goods. The reliance on the warranty, and the warranty itself, are manifested by plaintiff’s continued efforts to have the truck repaired, and by defendant’s acceptance of the responsibility to correct the galloping.”].) This is untrue. The complaint states, “In other words, Defendant GM’s concealment of this safety defect was material and Plaintiffs relied on Defendant GM’s advertising materials which did not disclose the defect. As a result, the purchase of the Subject Vehicle was fraudulently induced.” (Compl., ¶ 52.) This allegation demonstrates that Plaintiffs relied upon GM’s omissions and/or concealment and that Plaintiffs would not have purchased the vehicle if they had been aware of existing, known defects. Thus, GM’s argument under *Seely* is unconvincing.

Plaintiffs sufficiently allege actual and justifiable reliance on GM’s alleged omissions and concealment.

vi. Economic Loss Rule

Finally, GM contends that Plaintiffs’ claim for fraudulent inducement by concealment is barred by the Economic Loss Rule. The Court disagrees.

Under the economic loss rule, there is generally no recovery in tort for purely economic losses arising from a contractual relationship, but there are exceptions for intentional tort claims like fraud. (See *Rattagan v. Uber Technologies, Inc.* (2024) 17 Cal.5th 1, 38.) For purposes of this exception, the California Supreme Court has stated that fraudulent concealment claims are treated no differently than affirmative fraudulent conduct, “so long as [1] a plaintiff can establish all the required elements of the cause of action independently of the parties’ contractual rights and obligations and [2] can demonstrate an exposure to risks of harm beyond those that would be reasonably expected as the result of a contractual breach.” (Id. at p. 39.) “If the alleged breach is based on a failure to perform as the contract provides, and the parties reasonably anticipated and allocated the risks associated with the breach, the cause of action will generally sound only in contract because a breach deprives an injured party of a benefit it bargained for. However, if the contract reveals the consequences were

not reasonably contemplated when the contract was entered and the duty to avoid causing such a harm has an independent statutory or public policy basis, exclusive of the contract, tort liability may lie.” (Id. at p. 27.)

Here, the Court rules that a party entering a warranty contract has not bargained with the expectation that the manufacturer has concealed known material defects. As noted above, Plaintiffs have alleged that “[h]ad Defendant GM and its dealership(s) revealed the Transmission Defect in these disclosures, Plaintiffs would have been aware of it and would not have purchased Subject Vehicle.” (Compl., ¶ 51.) The Court believes buying a vehicle with a known material defect risks harm beyond those that would reasonably be expected as a result of a manufacturer not fulfilling its warranty obligations once a problem arises with a vehicle.

Furthermore, California has a strong policy interest, independent from the warranty itself, in ensuring automotive manufacturers do not withhold safety-related information from consumers. (See *Rattagan v. Uber Technologies, Inc.* (2024) 17 Cal.5th 1, 44 [“California public policy strongly supports imposing a tort duty on contractual parties to refrain from fraudulent deceit and favors enforcement of valid fraud actions, which the Legislature has facilitated through the enactment of the general fraud statute.”].) Therefore, the Court shall conform its ruling in accordance with this strong policy interest.

For these reasons, the Court finds that Plaintiffs claim for fraudulent inducement by concealment is not barred by the economic loss rule.

In sum, the Court finds that Plaintiffs’ allegations underlying this cause of action are sufficient. However, this cause of action is time-barred. (See § III(a).) For this reason, the demurrer to this cause of action is SUSTAINED. Plaintiffs are granted leave to amend to allege facts to support their assertion of delayed discovery.

CONCLUSION

For the foregoing reasons, GM’s demurrer is SUSTAINED.

Plaintiffs are granted leave to amend as set forth above. Plaintiffs

have twenty days from the Court’s ruling to file and serve an amended

complaint.